

6118.T pitch deck

PITCH — 6118.T — VERDICT

PROPOSED — PENDING ADJUDICATION — no entry today at ¥1,183; a 0.5%-of-book starter reopens in two tranches at $\leq$ ¥1,100 and $\leq$ ¥1,000, but only after the company's own buyback bid switches off on Nov 20 and the half-year figures print, and only after we settle whether we are buying a passive foreign investment company for tax purposes (we probably are — see below).

What we believe

AIDA Engineering (6118.T, Tokyo Prime) builds servo presses and stamping lines, mostly for car makers. It is a 100-year-old, family-adjacent industrial with almost no debt, sitting on a very large pile of cash.

The core belief is simple: **at ¥1,183 you are paying less than the accounting value of the company's own assets for a business whose operating half earns a respectable return, and the excess cash is finally being handed back.**

The arithmetic, off the June-quarter filing dated 2026-08-28:

Item	Value
Shares outstanding excluding treasury	54,357,667
Market value at ¥1,183	¥64.30bn
Book equity	¥86.82bn (¥1,595.48/share)
Price vs book	0.74×
Cash	¥37.76bn
Investment securities (cross-shareholdings)	¥12.63bn
Net cash	¥33.48bn — 52% of the market value
Company's own full-year forecast	operating profit ¥5.70bn, net ¥4.30bn, dividend ¥39 (3.3% yield)

The key move — and it is the whole valuation case — is that you cannot judge this company on its blended return on equity. Cash in Japan earns nothing. Roughly 39% of the book is cash, so the blended return (4.96%) is arithmetically dragged down by an asset that is worth exactly what it says it is worth. Split the balance sheet instead:

- ¥33.48bn of net cash, worth 100 cents on the yen (¥616/share)
- ¥53.34bn of operating equity, earning the forecast ¥4.30bn = **8.06%**

If we require an 8% return, an operating business earning 8.06% on its equity is worth its book. Add the cash at par and fair value is **¥1,595/share, +35% from here**. Discount the cash 20% for being

trapped and it is ¥1,474 (+25%). Cut the profit forecast by 30% — which we think is likely — and it is still ¥1,302 (+10%).

Second leg: the cash is moving. The board authorised a buyback on 2026-07-10 — up to 3.3m shares (about 6% of the free share count) for up to ¥3.0bn, to be bought between Sep 7 and Nov 20, with the shares **cancelled** on Dec 10. This company has a real track record of cancelling rather than hoarding: share count has gone 67.2m → 59.66m. Buying back stock at 0.74× book raises book value per share for everyone who stays.

What the market believes

The market believes this is a cyclical Japanese machinery maker heading into a bad print, and it is not wrong about the print.

The June quarter was ugly: operating profit ¥457m, down 63.9%, with sales falling in *every* region — Japan −24.6%, China −39.8%, US −21.3%, Europe −9.9%. Yet management left the full-year operating profit forecast at ¥5.70bn. To hit it, the remaining nine months must deliver ¥5.24bn against ¥4.42bn last year — **up 18.5%, at an 8.1% margin, off a quarter that ran 2.98%**. That is very unlikely. A forecast cut is close to arithmetic.

The market also isn't really "believing" anything in an active sense: **there is no analyst coverage**. The one third-party model we can find (IFIS 株予報) shows no rating and no price target; its book-value model reads "fair", its earnings model reads "slightly expensive", its trend signal reads "keep selling."

And the stock is not obviously distressed. It is 13% below its 52-week high but **32% above its 52-week low** — the upper half of the range, not a dislocation.

Why we might have edge

1. **Nobody is doing the balance-sheet split.** With zero analysts, the only published views are screens that apply one blended return to one blended equity number. On a company that is 39% cash, that method is simply wrong, and it produces a "fairly valued" answer where the correct method produces +25–35%. Our own red team made exactly this error, which is decent evidence of how common it is.
2. **The capital-return program is being read as a six-year promise; the evidence says year one is front-loaded.** A ¥3.0bn buyback in the first year of a plan whose buyback component is ~¥14bn is *above* a straight-line pace, and the shares are being cancelled, not parked.
3. **Buying back stock below book is mechanically accretive.** Every ¥3bn spent at 0.74× book adds roughly ¥0.35bn of book value to the remaining shares. Over the plan, on flat equity, that's roughly +26% to book value per share from repurchases alone.
4. **Orders turned.** Orders +44.2%, and order backlog rebuilt from ¥54.4bn after a −14.1% year. Whatever the near-term profit looks like, the forward workload is bigger than it was.

5. **It is genuinely un-owned.** Daily volume outside event days is 62,000–114,000 shares (¥75–145m, roughly \$0.5–1.0m). The largest holder is the founding-family individual at 2.44%. This is the kind of name where a slow, patient, small position is the entire game.

Why it might be priced in

- **0.74× book is not unusual in Japan.** Half the Tokyo market trades below book. The discount only pays if the return improves; that improvement is the assumption, not a fact.
- **The buyback is already eight weeks public** (announced 2026-07-10). Anyone who wanted to trade the announcement has done so. Our “catalyst” is a known, dated, capped program.
- **The company has just missed on the exact line the story needs.** The previous mid-term plan targeted ¥75.0bn of sales at an 8.3% operating margin. Actual: ¥78.6bn of sales at **7.24%** — revenue beat, margin missed by 13%. The new plan’s 2031 return target rests on the same margin line. And year one of that plan guides operating profit **+0.2%**.
- **The dividend step wasn’t taken.** The plan carries a floor of paying at least 3% of book value out annually. The guided ¥39 dividend is 2.44% of reported book (2.78% on the narrower base the board itself uses). Management declined its own floor in year one.
- **A quarter of the book is not franchise value.** ¥10.4bn is a currency-translation reserve and ¥12.6bn is cross-shareholdings in other listed companies — together 26.6% of equity. (We think our red team overreached here — see the check table — but the point that you aren’t buying 0.74× of *press-making assets* is fair.)
- **The whole payout is smaller than it sounds.** The ¥27bn headline return figure is **cumulative through FY2031**, roughly 7%/year of market value, of which 3.3% is the dividend already in the price. Incremental new yield $\approx$ 3.7%/year. Against a 1.7% Japanese government bond that’s a decent spread — but it is a carry story, not an event.

What could go wrong

Failure narrative 1 — the order book was bought, not won. (Most likely.) On a build-to-order press maker, a real order surge shows up as customer deposits. Customer advances went ¥16.29bn → ¥16.41bn, **+0.7%**, against orders **+44.2%**. Either the new Asian and American wins carry back-loaded payment terms, or price was conceded to get them. Either way the backlog will *consume* working capital as it is built, competing for the same cash that is supposed to fund the ¥14bn of buybacks. If terms were conceded, the operating return falls below 8%, our fair value collapses toward ¥1,200, and the return program gets quietly stretched. *Tripwire: customer advances (契約負債) on the half-year balance sheet must rise roughly with backlog. Monitorable, and cheap.*

Failure narrative 2 — we buy into a supported tape and hold it through the support being withdrawn. The company’s own bid runs Sep 7 → Nov 20. At ¥1,183 the ¥3.0bn cap buys about 2.54m shares over ~52 sessions $\approx$ **49,000 shares/day against a 90,000-share normal day — roughly half the tape.** That bid vanishes on Nov 20, and the half-year figures with the near-certain forecast cut land days later. Anyone buying now is bidding behind a price-insensitive buyer and then holding

through its exit into the bad news. *Tripwire: the Nov 20 date is dated and public; the print date is not (see below).*

Failure narrative 3 — no monitorable tripwire: the capital-return program is quietly abandoned. The ¥27bn is an aspiration in a slide deck, not a contract. We have already seen the board decline its own dividend floor in year one. There is no filing, no data series, and no public signal that announces “we have decided to keep the cash after all” — it simply shows up, years later, as a plan that was never met, the way the last plan’s margin target was never met. **Unknown-unknown class: intent-class unknowns — decisions taken privately by a board and its principal customers, which have no leading public series and become visible only after the fact.** Adjacent members of the same class here: a single Asian customer’s capex program being cancelled in a phone call; a keiretsu-style pricing accommodation to a domestic automaker; a family-shareholder succession decision. We cannot build a sensor for any of these. The only defence is size.

The reflexive / structural leg.

- *Our size vs the tape.* A 0.5%-of-book position is small in absolute terms, but the ADV is only ¥75–145m (\$0.5–1.0m). Our own rule caps participation at 1% of ADV, which is **\$5–10k per day** — a starter takes three to five sessions to fill, and any urgency shows up directly as our own price impact. We must use limits, and never price a gate off the thin after-hours Japanese venues, which routinely print fake $\pm 10\%$ moves.
- *Predicted flow.* Our doctrine says never bid into your own predicted flow. Here the flow isn’t ours, it’s the issuer’s, and it is dated — which makes the sequencing worse, not better: the support is on while we would be accumulating and off when the risk resolves. The correct order is the opposite of the instinctive one.
- *The tax structure is reflexively adverse, and both our benches understated how close it is.* AIDA is one point from being a “passive foreign investment company” for US tax: passive assets $\text{¥}50.39\text{bn} \div (\text{market value } \text{¥}64.31\text{bn} + \text{liabilities } \text{¥}38.27\text{bn}) = \mathbf{49.13\%}$. The trigger is 50%. Because a falling price shrinks the denominator while the cash sits still, **the tax penalty switches on exactly in the bear case.** Solving for the threshold: the line is at **¥1,150 — 2.8% below today’s price.** After the ¥3.0bn buyback completes, the line moves to about ¥1,091. **Both of our proposed entry levels (¥1,100 and ¥1,000) sit below the line.** We should plan on buying a PFIC, not on avoiding one.
- *Doctrine interaction with the tax-loss core.* The standard fix is a mark-to-market election, which is available unilaterally for stock regularly traded on a qualified exchange and needs no cooperation from the company. But that election taxes unrealised gains annually as ordinary income and only allows losses to the extent of previously marked gains — which means our normal loss-harvesting playbook does **not** work cleanly on this name. A position we would otherwise harvest into a drawdown may not produce a usable loss.

If this position loses money, the most likely reason will be that the 44% order surge was bought with price and payment-term concessions — the missing customer deposits being

the tell — so the backlog converts at a margin that never gets the operating return to 8%, and we will have paid book value for a business that cannot earn its cost of capital.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price ¥1,183	Evidence pack + Yahoo!JP realtime, 9/2 15:30 JST (prior close ¥1,224)	Matches; also 13.1% below the 52-wk high but 32% <i>above</i> the low	✓
Market value ex-treasury ¥64.30bn	59,662,021 issued – 5,304,354 treasury = 54,357,667 × ¥1,183	¥64,305m	✓
Price/book 0.74×	¥64,305m ÷ ¥86,817m equity	0.7407	✓
Blended return on equity 4.96%	¥4,300m forecast net ÷ ¥86,817m	4.95%	✓
Red bench: “fair value 0.62–0.70× book, so the stock is 15–20% too expensive”	Re-derived, then decomposed the balance sheet	RED BENCH ERRED (method). Applying one blended return to a book that is 39% cash marks ¥33.5bn of yen deposits down to ¥21bn. Split properly, the operating business earns 8.06% and fair value is ¥1,474–1,597	✗ overturned
Red bench: “an independent model agrees the stock is expensive”	Read the IFIS page directly	RED BENCH ERRED (misread). Its book-value model says fair ; only its earnings model, run off a trough forecast, says slightly expensive	✗ overturned
Red bench: “the currency-translation reserve is free-replicable market beta”	What the line actually is	RED BENCH OVERREACHED. The translation reserve is the yen value of overseas subsidiaries’ operating net assets — not a separable financial asset. The cross-shareholdings critique stands; this one does not	Partly ✗
Red bench: the full-year forecast is unachievable	Re-ran it: ¥5,700 – ¥457 = ¥5,243 needed vs ¥4,424 last year	+18.5% required, at 8.1% margin, off a 2.98% quarter	✓ (this is the strongest thing red found)
Red bench: buyback is ~63,000 shares/day	¥3.0bn ÷ ¥1,183 = 2.54m shares ÷ ~52 sessions	RED BENCH ERRED (wrong binding constraint). The yen cap binds, not the share cap: ~49,000/day. Still ~half of ADV, so the conclusion survives	Partly ✗
Both benches: PFIC test at 49.1%, “a 20% fall puts it at 56%”	Solved for the trigger price rather than a bracket	BOTH BENCHES MISSED THE SHARPNESS. The 50% line is at ¥1,150 , i.e. 2.8% away — and <i>both proposed entry bands are below it</i>	✗ new finding
Blue bench: customer deposits flat (+0.7%) vs orders +44.2%	Balance sheet, ¥16,294m → ¥16,408m	Confirmed off the filing. This is the load-bearing risk and red never ran it	✓
Backlog “+8.8%”	¥54,383m → ¥63,560m is +16.9%, and the delta	DISCREPANCY UNRESOLVED — both benches quoted +8.8% against	✗

Claim	How checked	Found	Confirmed?
	¥9,177m matches	figures that compute to +16.9%. Direction is unambiguous (backlog up), size is not	
Buyback = “5.63% of shares”	3.3m ÷ 59,662,021 issued = 5.53%; ÷ 54,357,667 float = 6.07%	Neither matches 5.63%; a carried figure off a stale share count	✗
Dividend ¥39 = 2.78% of book	¥39 ÷ ¥1,406 (book excluding the translation reserve)	2.77%; on reported book it is 2.44%. Either way, below the plan’s ≥3% floor	✓
Prior plan missed on margin (7.24% vs 8.3% target)	Carried from the red bench; not independently pulled this session	Plausible and uncontested, but sourced to the brief	⚠ carried
“Industry orders +71.3%, so AIDA is losing share”	Neither bench pulled the trade-association series	Unverified by both. A share-loss claim cannot stand on an unpulled comparator	✗
Half-year results land mid-November	The June-quarter filing carries no scheduled announcement date and states no results briefing	Unconfirmed by any company document. This is a gap for both benches, not a bench error	✗

PROPOSED ENTRY BANDS

Today: no entry. No entry at any price between now and Nov 20, 2026. We would be accumulating behind the company’s own bid and holding through its withdrawal into the forecast cut.

Hard precondition before any yen is spent: confirm with the tax preparer that a mark-to-market election under §1296 is available for 6118.T on the Tokyo Stock Exchange, and file it for the year of purchase. Assume the company *is* a passive foreign investment company at our entry prices — the 50% line is ¥1,150 today and ~¥1,091 after the buyback completes; both bands below are inside it. **If that election is not available, this trade does not happen at any price.**

Reopen — tranche 1. After both (a) Nov 20, 2026 (company bid ends) and (b) the half-year results have printed: - Level: **≤¥1,100** (0.69× reported book, 0.78× ex-translation-reserve) - Condition: customer deposits on the half-year balance sheet rise roughly in line with backlog — i.e. narrative 1 is *not* confirmed - Size: **0.25% of book**, worked at ≤1% of daily volume (~\$5–10k/day, expect 3–5 sessions), limit orders only, Tokyo session prices only — no after-hours marks - Funding: **buy in yen** per the standing local-currency funding policy for Japanese purchases; no forward, no currency tripwire

Reopen — tranche 2. At **≤¥1,000** (0.63× reported book, 0.71× ex-translation-reserve — the level where the red bench’s model and the blue bench’s model agree the stock is cheap), a further **0.25% of book**. **Total position cap 0.5% of book.**

Upgrade path (buy higher). If the half-year print *retains* the ¥5.7obn operating profit forecast **and** half-year operating profit is ≥¥1,800m, the implied return moves toward 6.5%+ and 0.74× book

becomes defensible on the blended method too. In that case: 0.25% of book up to **¥1,250**, tranche 2 unchanged.

Second-authorization path. If the company discloses a *second, incremental* buyback on top of the July 10 program, or accelerates to a $\geq$ ¥7bn tranche, that is direct evidence the ¥14bn is front-loaded rather than back-ended. Treat as an upgrade equivalent to the above.

Exits / trims (if we ever own it). - Trim half at **¥1,475** (the cash-haircut fair value), remainder at **¥1,595** (book) - Exit on any of: backlog falls below **¥54,383m**; customer deposits fall while backlog rises for two consecutive quarters; any downward revision to the ¥27bn return program - Tax note: under a mark-to-market election the holding-period clock is irrelevant — gains are ordinary annually and losses are only usable against prior marks. Size the position as though we cannot harvest a loss from it.

Catalyst dates. - **2026-09-07** — buyback window opens (dated, public) - **~2026-11-13** — half-year results, **UNCONFIRMED** (no company document names a date) - **2026-11-20** — buyback window closes (carried from secondary press; not independently confirmed) - **2026-12-10** — repurchased shares cancelled (same sourcing caveat)

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1000.0 (deck-provisional: Tranche-2 reopen; 0.63x reported book, the level where both benches' models agree the stock is cheap)
- dated pack 6118.T|2026-09-07: 6118.T: Company buyback window opens; issuer becomes roughly half of daily volume (date confirmed=True)
- dated pack 6118.T|2026-11-13: 6118.T: H1 FY2027/3 results, expected mid-November - date is our inference, no company document names it (date confirmed=False)
- dated pack 6118.T|2026-11-20: 6118.T: Buyback window closes; corporate bid withdraws days before the guidance resolution (date confirmed=False)
- dated pack 6118.T|2026-12-10: 6118.T: Repurchased shares cancelled - mechanically accretive to book value per share (date confirmed=False)

What remains unverified

- **When the half-year results print.** No company document names a date. “Mid-November” is inference from the fiscal calendar.
- **The buyback's yen ceiling and its dates.** The 2026-07-10 resolution and the 3.3m-share ceiling are independently confirmed. The **¥3.0bn cap, the Sep 7–Nov 20 window and the Dec 10 cancellation come from a single secondary press source.** Our daily-rate maths, the ¥909 implied average price, and the entire timing argument depend on the ¥3.0bn figure. This must be confirmed against the original filing before anything is armed.

- **The industry order comparator (+71.3%).** Never pulled by either bench. The “AIDA is losing share into the upcycle” claim is unsupported.
- **The backlog percentage.** ¥54,383m → ¥63,560m is +16.9%; both benches wrote +8.8%. Unreconciled.
- **The plan horizon.** FY2031 end-date is carried from the brief; the company IR pages returned errors this session. If the plan ends a year earlier the annual return rate reads ~9%/yr instead of ~7%/yr — better for us, and it does not change the entry plan.
- **Whether a mark-to-market election is actually available.** Tokyo is generally treated as a qualified exchange, but this is a preparer question, not ours, and it is a gating item.
- **Regional backlog detail does not foot** to the ¥9,177m total; the residual is probably currency translation, but we are relying on disclosed percentages rather than a reconciled table.
- **Customer concentration.** Whether Asia (+140%) and the Americas (+105%) represent one customer or several is unknown, and it is the same question that would explain the missing deposits.
- **Cost of capital.** The 8% required return is our assumption, not a market observation. At 7%, every fair value above rises about 8%.
- **No US regulatory filings exist** for this issuer — our SEC-based tooling covers none of this, and our seasonality tooling has no Japanese coverage, so the “is a weak first quarter normal?” question was never properly answered by either bench.

Primary sources: [Q1 FY2027/3 results filing, TDnet 140120260828527542, filed 2026-08-28](#) · [Buyback resolution, 2026-07-10 \(kabushiki.jp 757509\)](#) · [Tokyo disclosure index, 6118.T](#) · [Quote and share count, 6118.T](#) · [IFIS 株予報 6118 — theoretical value, no rating, no target](#)

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